

Stock Market Basics Research Report

Introduction

The stock market is one of the most important components of a modern economy. It provides a platform where companies can raise capital and investors can buy or sell ownership in businesses. By connecting companies that need funds with individuals and institutions willing to invest, the stock market supports economic growth, innovation, and wealth creation. In India, the stock market has developed significantly over the years and is regulated by strong institutions to ensure transparency and investor protection.

What is the Stock Market?

The stock market is a marketplace where shares of publicly listed companies are issued, bought, and sold. A share represents a unit of ownership in a company. When an investor purchases shares, they become a partial owner of that company and may benefit from its growth through capital appreciation and dividends. The stock market performs several important functions. First, it helps companies raise money for expansion, research, infrastructure development, and other business activities. Second, it provides liquidity, allowing investors to convert their investments into cash by selling shares. Third, it contributes to price discovery, where the value of shares is determined by supply and demand. Finally, it encourages savings and investment by offering individuals opportunities to grow their wealth. In India, major stock exchanges include the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE). These exchanges provide electronic platforms where millions of transactions take place every day. Investors participate through brokers who facilitate buying and selling activities. Stock market participants include retail investors, institutional investors, brokers, companies, regulators, and market intermediaries. Their combined activities help maintain a dynamic and efficient financial market. However, stock prices can fluctuate due to economic conditions, company performance, government policies, and global events. Therefore, investing in stocks involves both opportunities and risks.

Primary Market vs Secondary Market

The stock market is broadly divided into two segments: the primary market and the secondary market. **Primary Market**

The primary market is the market where securities are issued for the first time. Companies raise capital directly from investors through the issuance of shares, bonds, or other securities. One of the most common methods is an Initial Public Offering (IPO), where a private company offers its shares to the public and becomes publicly listed. In the primary market, investors purchase securities directly from the issuing company. The funds collected go to the company and can be used for business expansion, debt repayment, technological development, or other corporate purposes. The price of securities is usually determined by the company and its advisors through regulatory procedures. Key features of the primary market include: • New securities are issued. • Funds flow directly to the company. • It helps companies raise fresh capital. • Examples include IPOs, Follow-on Public Offers (FPOs), and rights issues. **Secondary Market**

The secondary market is where existing securities are bought and sold among investors after they have been issued in the primary market. Stock exchanges such as NSE and BSE are part of the secondary market. In this market, investors trade shares with each other, and the company does not receive funds from these transactions. Prices are determined by supply and demand and may change throughout the trading day. The secondary market provides liquidity, enabling investors to enter or exit investments conveniently. Key features of the secondary market include: • Existing securities are traded. • Transactions occur between investors. • The issuing company does not receive money from these trades. • Prices fluctuate based on market conditions. Both markets are essential. The primary market helps businesses obtain funding, while the secondary market ensures liquidity and continuous trading opportunities for investors.

Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the regulatory authority responsible for overseeing the securities market in India. Established in 1988 and given statutory powers in 1992,

SEBI plays a vital role in maintaining fair, transparent, and efficient capital markets. The primary objective of SEBI is to protect investors' interests while promoting the development and regulation of the securities market. It acts as a watchdog to prevent fraud, manipulation, and unfair trade practices. Major functions of SEBI include: 1. **Investor Protection:** SEBI safeguards investors by ensuring that companies provide accurate and timely information. It also takes action against fraudulent activities and market misconduct. 2. **Regulation of Market Intermediaries:** SEBI regulates brokers, mutual funds, merchant bankers, portfolio managers, and other intermediaries to ensure compliance with established standards. 3. **Market Development:** SEBI introduces reforms and technological advancements that improve market efficiency, transparency, and accessibility. 4. **Surveillance and Monitoring:** The regulator continuously monitors trading activities to detect insider trading, price manipulation, and other unethical practices. 5. **Regulation of Stock Exchanges:** SEBI supervises stock exchanges and ensures they operate fairly and efficiently. 6. **Corporate Governance:** SEBI promotes good governance practices among listed companies by enforcing disclosure requirements and accountability standards. Through these functions, SEBI strengthens investor confidence and contributes to the stability and credibility of India's financial system.

Conclusion

The stock market is a crucial institution that facilitates capital formation, investment, and economic growth. It consists of the primary market, where companies raise fresh capital, and the secondary market, where investors trade existing securities. Together, these markets create an efficient financial ecosystem. In India, SEBI plays a central role in regulating and developing the securities market while protecting investors. Understanding the stock market, its structure, and the role of SEBI is essential for anyone interested in finance, investing, or economic development.